

funds, exchange-traded funds, certificates of deposit, and bonds. The accounts that hold these investments typically include self-directed retirement accounts, employee savings accounts, personal savings accounts, and fixed and variable annuities that are still accumulating (i.e., have not been annuitized). These assets can typically be converted into cash within one week.

3. Level three covers less liquid long-term investments that are also discretionary. They include your home and other real properties, businesses, art and other collectibles, hedge funds, venture capital funds, and other limited partnerships. These investments are less liquid than level two securities. They may be converted to cash over time, but it could take weeks, months, or even years.
4. Level four tends to cover investments that you have little or no discretion over. These assets can include employer-restricted corporate stock and stock options, employer-managed pension plans, Social Security benefits, and annuities that are paying out. These assets have strict rules governing what the money can be invested in, who can take the money, and when.
5. Level five is somewhat out of sequence. It covers speculative capital. These are the trading accounts that some people use to “play” the market. Investments at this level can be characterized as price-trend bets that have a short holding period. A trade may last for a few days or a couple of years. Investments can include, but are not limited to, common stock, niche mutual funds and ETFs, gold and precious metals, commodity futures, and commodity funds. These investments are hit-or-miss price guessing propositions. Place your bet, and hope for the best.

All five levels are important to your asset allocation. Some levels you have complete control over, and some you have no control over. You have complete control over the discretionary investments in your personal accounts and some retirement accounts. You have no control over Social Security benefits, employer-defined benefit pension plan investments, and company-restricted stock.

This begs the question: Will those nondiscretionary assets be there during your retirement? Or do you believe that the benefits from Social